

Narrative Summary: Recommendation: short NCLH at \$15.05, starting at a third of a full position. Our base case is worth about \$10.80 (~28%) and the probability-weighted value about \$12 (~21%), against +32% if consensus is right. The market prices NCLH on net yield (ticket and onboard revenue, less commissions and onboard costs, per available berth-day), and the share price assumes net yield climbs back above its 2025 level. We think it falls again in 2027, and two sets of alternative data show why. A fare panel of 4,783 itineraries shows NCL cutting Caribbean fares where it is losing share to Royal Caribbean and Carnival; on the cabins NCL still has to sell, that lowers 1H27 ticket price per passenger day (KPI 1). NCL's deposits show a booking shortfall that its Best Price Guarantee gives guests no reason to close, and since COVID deposits have reached net yield about four quarters later; that lowers 2027 occupancy (KPI 2) and keeps 2H27 prices from recovering. In our model the two KPIs take about \$140M off 2027 EBITDA. With onboard spending and unit costs at recent run-rates, we get 2027 EBITDA of \$2.47B against a Street-implied \$2.69B, and EPS of \$0.95 against \$1.46–1.67.

Company Overview: NCLH runs 35 ships with about 75,000 berths: Norwegian Cruise Line (NCL), the mass-market brand with about 83% of berths, plus the upper-premium Oceania and luxury Regent brands. In 2025 it earned \$9.8B of revenue, \$2.73B of adjusted EBITDA and \$2.11 of EPS, and it carries \$14.8B of net debt, two-thirds of enterprise value. The debt is why small changes in net yield move the equity: each 1% is about \$75M of EBITDA and 9% of the share price. Then 2026 went badly. NCL added about 40% more Caribbean capacity before its Great Stirrup Cay upgrade was ready, the Iran war pushed oil above \$100, and guidance fell from flat net yield and \$2.38 of EPS in March to about -5% and \$1.50 in July. In February John Chidsey replaced Harry Sommer as CEO, under a cooperation agreement with Elliott, a holder of more than 10%.

Industry Overview: Carnival (about 32% of capacity), Royal Caribbean (26%), MSC and NCLH (about 10% each) carry about 80% of the market. Demand is healthy overall: Carnival's deposits are up 6.5% on flat capacity and Royal's are up 5.6%. The competition is in the Caribbean, where each large line now sells a private island, and NCL arrived with the most new capacity and the last island to be finished (September 2026). Returns differ: 2025 return on capital was about 16% at Royal and 12% at Carnival, against about 10% at NCLH, close to its cost of capital.

Market Expectations: Since 2024 NCLH's EV/EBITDA has tracked net yield growth closely ($r = 0.87$ over ten quarters), and on the four days management changed its yield outlook the stock lost 27 points against Royal and Carnival. Working back from the \$21.7B enterprise value at a 9% WACC, the price needs about \$3.0B of steady-state EBITDA, which is management's March guide and net yield back above its 2025 level (Exhibit 1). The Street is less demanding but still expects a recovery: consensus 2027 EPS of \$1.46–1.67 implies about \$2.7B of EBITDA, and the \$18.80 average target needs \$2.9B. At 8.1x trailing EBITDA the stock looks cheap against 10.9x in 2016–19, but that multiple sits on EBITDA we expect to fall.

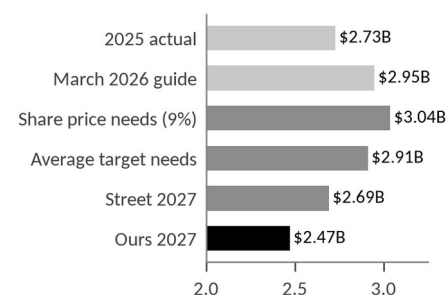
Sentiment has turned faster than estimates. Ratings are 4 Buy, 15 Hold and 0 Sell (11, 4 and 0 a year ago) and short interest is 20.7% of float, yet consensus 2027 EPS moved only two cents when NCLH guided 2027 interest \$0.35 a share higher on September 30. The bull argument is that the selloff was oil and the sector. Our regression puts 54% of the decline there, but NCLH moved no more than Carnival on the biggest oil days, and the NCL-specific 46% came on six company news days and did not reverse. When Brent fell 38% in May and June, NCLH rose 48% but recovered only half of its underperformance against peers, and the July guidance cut erased that.

Thesis 1: NCL is cutting prices because it is losing share in the Caribbean, and the cuts reach 1H27 revenue. The Street reads the discounting as a result of the war and of execution problems that the finished island and new ships will fix in 2027. We think the cause is competition. Every large line added Caribbean ships and a private island at the same time, and because a ship costs about the same to sail full or empty, the line with the weakest product fills its ships by cutting price. The fare data fits that. On October 2 we compared the lowest fare on 4,783 itineraries with each one's 90-day average. NCL has cut 1H27 Caribbean sailings by a median 14.5% but Europe by only 2%, although two-thirds of its European guests fly in and face higher airfares. Royal and Carnival have held Caribbean prices and are discounting Europe instead (Exhibit 2). If the war were the cause, we would expect the opposite pattern. The cuts are also recent. NCL cut prices less often than Royal in 2025, but it went from 1 to 9 of the industry's 10 largest monthly price cuts between December and October. The new product has not stopped them: sailings that call at NCL's island are cut as much as its other Caribbean sailings, and its newest ships are cut 22% against 1% for Royal's newest. NCL now prices below the budget brand: from Port Canaveral in 1H27 its lowest fare is \$94 a night against \$100 at Carnival and \$118 at Royal, and 71% of its Caribbean itineraries sit at record-low fares against 45% at both rivals. Oceania and Regent show no cuts, so the problem is the NCL brand.

For the model, the cuts matter only for cabins NCL has not yet sold. With a normal booking curve and the booking shortfall from Thesis 2, about 45% of 1Q27 and 55% of 2Q27 cabins are still unsold, and 74% of NCL-brand capacity sails in the Caribbean in 1Q27. Weighting the NCL brand at 65% of ticket revenue, 1H27 ticket revenue per passenger day (KPI 1) falls 2.6% y/y in our model against 1.1% in the consensus case. The main risk to this view is that the cuts reverse before guests book. We re-run the fare panel monthly; cuts back near peers' levels would undo it.

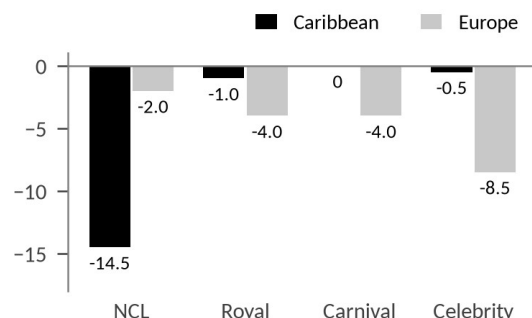
Thesis 2: NCL's booking shortfall is already in its deposits, and deposits reach net yield about a year later. The consensus case has net yield up about 3% in 2H27, helped by easy comparisons and by base-loading: opening sailings at lower fares and raising them as ships fill. That needs guests who book early because they expect prices to rise. NCL's Best Price Guarantee removes the reason to: before final payment a booked guest can move to any lower fare, and after it a guest on a cruise of six nights or more gets an upgrade or future-cruise credit for the difference, while Royal offers nothing after final payment. NCL has also shown guests that it cuts late: 77% of its 4Q26 Caribbean sailings of seven nights or more have been cut 20% or more. Chidsey has said NCL was "holding price too high, too far out," but filling ships with price has not worked either: in 1Q26 occupancy rose 2.3 points and net yield still fell 1.0%.

Exhibit 1: Adjusted EBITDA (\$B)



Source: NCLH 8-Ks; Yahoo/Zacks; team model (reverse DCF at 9% WACC).

Exhibit 2: Fare change, 1H27 sailings (%)

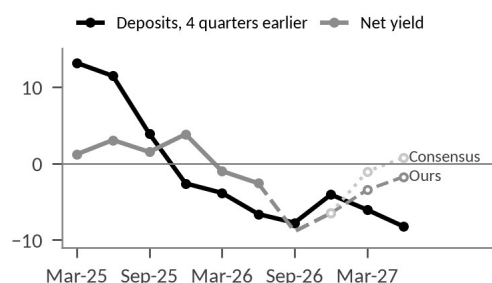


Median lowest fare vs. its own 90-day average. Source: allaboarddeals.com, 4,783 itineraries, Oct 2, 2026.

The shortfall is already visible. Deposits per future berth-day are down 8.3% y/y, the seventh decline in a row, while Royal's and Carnival's are growing, and NCL says it is "below its optimal booked position for the next 12 months." What makes this useful is that the lag from deposits to net yield is predictable. Guests pay deposits when they book, so deposits move first. Before COVID the lead was one to two quarters. Since COVID guests book further ahead (advance ticket sales are about a third of annual revenue, against a quarter in 2016–18), and the lead has stretched to about four quarters: deposits turned negative in December 2024 and net yield followed in 1Q26. At a four-quarter lead the indicator has called the direction of net yield in 5 of 6 reported quarters, and the 3Q26 guide and 4Q26 implied figure fit as well (Exhibit 3). On that lag, the March and June readings fall on 1Q27 and 2Q27, the quarters consensus expects to recover. A simple fit over those eight quarters points to 1H27 net yield of about -4%, against -2.6% in our model and -0.2% in the consensus case.

In the model we size the shortfall from deposits: if booked fares fell as much as realized fares (-5.6%), about 3 points fewer cabins are booked; if booked fares were flat, about 8. We use 5. We assume 20% of those cabins sail empty, about half of what the 2026 link between deposits and occupancy implies, and the rest sell late at NCL's current close-in discount of about 25%. That puts 2027 occupancy (KPI 2) at 102.1%, down again from 2026 and a point below the consensus case, and takes about 0.9 points off 2H27 ticket price. The first test is the November 4 10-Q: September 30 advance ticket sales below \$2.97B support this, and at \$3.11B or more we would cover.

Exhibit 3: Deposits vs. net yield (% y/y)

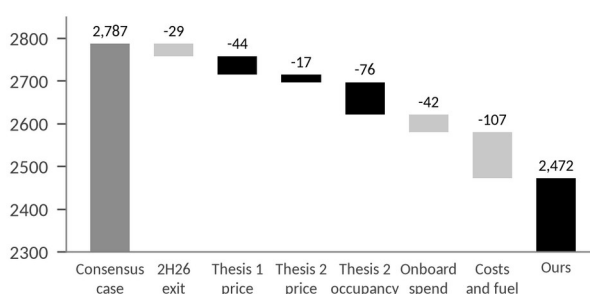


Deposits per future berth-day shifted 4 quarters. Dashed: 3Q-4Q26 guide, then 1H27 model. Source: SEC XBRL; 8-Ks; team model.

From the data to the model: Each data set moves one KPI, and each KPI is a line in our quarterly net yield build (net yield = occupancy × revenue per passenger day). The fare panel sets the price cut on unsold cabins (KPI 1); deposits set the booking shortfall, which shows up as empty cabins (KPI 2) and as late discounts on the rest. Together they take \$137M off 2027 EBITDA (Exhibit 4). The rest of our gap to the consensus case is not part of either thesis: onboard spending grows 2% in our model (it fell 0.3% in 2025 and rose about 1% in 1H26) against 3.5%, and unit costs rise 1% against a 0.5% decline. On the two theses alone, the shares are worth about \$13.50 (-10%).

Alternative data → KPI (2027)	Consensus case	Ours	EBITDA (\$M)
Fare panel → KPI 1: 1H27 ticket price y/y	-1.1%	-2.6%	-44
Deposits → KPI 2: occupancy	103.1%	102.1%	-76
Deposits → KPI 1: 2H27 ticket price y/y	+0.3%	-0.6%	-17
Other: onboard spend per guest y/y	+3.5%	+2.0%	-42
Other: unit costs y/y / fuel per ton	-0.5% / \$760	+1.0% / \$800	-107
2H26 exit rate			-29
2027 EBITDA	\$2.79B	\$2.47B	-315

Exhibit 4: 2027 EBITDA, consensus case to ours (\$M)



Black: the two theses. Light gray: other differences. Source: team model (Bridge Build).

Valuation and risk/reward: We value NCLH on 2027 EBITDA at today's 8.4x forward multiple, less \$15.8B of year-end net debt. Our \$2.47B gives \$10.83 a share (-28%), and a DCF of 2027–30 cash flows gives \$8.11. Leverage widens the range of outcomes: each point of 2027 ticket price is worth about \$0.90 a share and each point of occupancy about \$1.40. If consensus is right and the stock re-rates to 9x, it is worth about \$19.90 (+32%); if discounting spreads into 2H27, about \$6.30 (-58%). Weighted 25/50/25, value is about \$12 (-21%). Net debt also keeps rising in our model, to \$17.7B (7.2x EBITDA) at the end of 2027, as newbuild payments continue.

Scenario	Prob.	2027 net yield	2027 EBITDA	EV / EBITDA	Value	vs. \$15.05
Bull: consensus is right and the stock re-rates	25%	+1.6%	\$2.79B	9.0x	\$19.92	+32%
Base: our view	50%	-0.7%	\$2.47B	8.4x	\$10.83	-28%
Bear: discounting spreads into 2H27	25%	-2.6%	\$2.22B	8.4x	\$6.27	-58%
Probability-weighted					\$11.96	-21%

When we would cover: We would close the position if the data turns against us, whatever the price: September 30 advance ticket sales of \$3.11B or more, a fare-panel re-run showing NCL's 1H27 Caribbean cuts back near Royal's and Carnival's, or a February guide for 2027 net yield above +1%. On price, we would take most of the position off near \$11, where the stock prices our base case and the remaining downside no longer pays for the squeeze risk.

Catalysts: November 4 (3Q26 results): earnings should beat (\$0.90 guided against \$0.83 consensus), so the number to watch is September 30 advance ticket sales, which we expect at \$2.94B (-7% y/y). A beat on 3Q26 does not test the thesis, because those cruises were sold before the cuts. Late February: the first 2027 guide, which we expect at or below flat net yield against +1.6% in the consensus case. Monthly: our fare-panel re-run on 1H27 sailings. May 2027 (1Q27 results): we model occupancy of 101.8% and ticket price per passenger day down 2.8%.

Risks and sizing: The main risk is a squeeze. 95M shares are short (5.7 days to cover), and the stock rose 48% in six weeks this spring when oil fell. About half of NCLH's moves follow oil and its peers, so we would start with a third of the position, add on oil- or ceasefire-driven rallies and around November 4 and February, hold part of it in puts, and stop out above \$19, where shorts added at about \$18 are under water and the bull case begins. Other risks: Elliott's standstill ends in February, cost savings beyond the \$225M identified would offset our cost assumption, and the fare panel is a snapshot, so the cuts could reverse. We could also be early: in this cycle deposits turned down about a year before net yield did, so the 2027 shortfall may show up later than our quarterly path assumes.

Sources: NCLH 8-Ks (Nov 4, 2025–Sep 30, 2026), 10-Ks FY24–25, 2Q26 10-Q and call; ncl.com Best Price Guarantee terms; allaboarddeals.com fares (collected Oct 2, 2026) and policy summary (Apr 2026); Carnival 8-K (Sep 29, 2026); Royal Caribbean 2Q26 10-Q; SEC XBRL; Nasdaq/Zacks and Yahoo consensus (Oct 2, 2026); Wells Fargo action via news reports (Sep 2026); FINRA short interest; FRED; Kenneth French Data Library. Estimates are the team's (NCLH_model_v6.xlsx). AI disclosure: [team to complete under Rule 10].